THE PRESDENT OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

MOCK EXAMINATION

BOOK- KEEPING FORM TWO

INSTRUCTION

1. This paper consist section A, B and C

2. Answer all questions in all sections

SECTION A

For each of the following items i – x write the letter of the correct answer

1. (i) Which of the following statement is incorrect ?

A. Bought goods on credit from Ally dr cash a/c , cr Ally a/c

B. Sold goods for cash Dr cash a/c , Cr sales a/c

C. Paid rent Dr Rent a/c, Cr cash a/c

D. Cash purchases Dr Purchase's a/c, Cr cash a/c

(Ii).The term balancing means

A. Find the total only

B. Find the total of both debit and credit then find the difference to get balance c/d and find the Summation of an account

C. Find the difference of an account

D. Cash balance

(iii). The trial balance total agree because

A. It is extracted at the end of the year

B. For every debit entry must have credit entry

C. Errors in balancing the ledger account

D. None of the above

iv. Payment is made after the goods have been suoolies

A. Cash sale

B. Credit transaction

C. Cash transaction

D. Cash purchases

v. Which of the following should be entered in the journal?

A. Payment for cash purchases

B. Fixtures bought for cash

C. Credit sales of goods

D. Goods sold for cash

vi. Sales invoice are first entered in the

A. Cash book

B. Purchases journal

C. Sales account

D. Sales journal

vii. A cash discount described as a reduction in the sum to be paid if the payment is made

A. For cash only

B. By cash not cheque

C. Either by cash or cheque

D. For cash not for credit

viii. The sales day book does not contain

A. Credit sales made without deduction of the trade discount

B. Cash purchases made to overseas customers

C. Cash sales made to customers

D. Credit sales made to local customers

Ix What is meant by gross profit

A. Excess of sales over cost of goods sold

B. Sales after deducting purchases

C. Sales plus closing stock minus purchases

D. Excess of cost of goods sold over sales

x. A Contra entry is where

A. Cash is balanced before being paid out

B. Double entry is completed within the cash book

C. The proprietor has repaid his capital

D. Sales have been paid by cash

2. Match the item in column A with the response in column B by writing the letter of the correct response beside in the item number

Column A	Column B
i. It is the main book of accounts ii. It contain debtor account iii. It contain creditor account iv. It contains the real and nominal account v. It contain cash and bank account vi. It contains capital and drawing accounts vii. It is used to record credit purchases viii. It is used to record credit sales ix. It is used to record the payment of small amount of money by a business x. It is used to record business transaction that are not journalized in any of the other journals	A. General ledger B. Sales journals C. Purchases returns journals D. Purchases ledger E. Cash payments journals F. Purchases journal G. Sales ledger H. General journal I. Sales returns journal J. Ledger K. Journals L. Privates M. Cash received N. Petty cash book O. Cash book

SECTION B

3. (a) Briefly explain five benefits of using petty cash system

(b) State five advantage of using books of original entry

4. Identify whether the following accounts are nominal, real or personal

S/N	NAME OF ACCOUNT	CLASS OF ACCOUNT
i	Creditor	
ii	Sales	
iii	Stock	
iv	Purchases	
v	Rent	
vi	Machinery	
vii	Cash	
viii	Advertising	
ix	Debtors	
x	Land	

SECTION C

5. (a) Complete the blanks with appropriate words

i. ……Is the type of discount allowed by a seller to encourage speed settlement of his bill

ii. ……Is the excess of gross profit over expenses

iii. ……Are asset held in the business for the purpose of resale them

iv. ……Are those types of liabilities expected to be paid for less than a year

v. ……Is the type of discount offered for bulky purchases of goods

vi. ……..It include all things that can be used as money

vii. ……..Is the supplier of goods and services

viii. ……Is the person who owns the business

ix. ……..Refers to the movement of money or money worth from one person to another

x. Discount …… is treated as income in the income statement

(b) Show how the following transaction should be recorded in the ledger account by writing the name of the account to be debited and credited for each transaction

TRANSACTION	ACCOUNT TO BE DEBITED	ACCOUNT TO BE CREDITED
i. Cash deposited into bank		
ii. Cash drawn for personal use		
iii. Payment for rent in cash		
iv. Purchases of motor van by cheque		
v. A cheque received from kaboka		

SECTION C

6. Enter the following transaction in the Jambo's Petty cash book having analysis columns for postage, Stationary, Travelling expenses, Office expenses and Ledger accounts

2020

01.03 Received cash float 200,000

03.03 Paid for bus fare 20,000

05.03 Bought stamps 15000

10.03 Paid stationary

15.03 Paid office messenger 23000

16.03 Paid Kamenge 34000

18.03 Paid for telephone bill 12000

22.03 Paid train fare 18000

25.03 Bought carbon paper 10,000

26.03 Paid office expenses 15000

Balance the petty cash book on 31st march 2020 bring down the balances on 1st April 2020

7. Kalunde Provision Store had the following balances on 1st may 2019

Cash 2,900

Bank 65,400

Debtors

Lukelo 12,000

Amani 28,000

Onyango 4,000

Creditors

Tatu 6,000

Kagere	44,000
Calori	10,000

During the moth the following transaction took place

May 03 Lukelo paid account by cheque less 25% cash discount

May 04 Paid Calori there account by cheque less 5% cash discount

May 08 Withdrew sh 10,000 cash from bank from the bank for business use

May 10 Aman settled her account by cheque less 25% cash discount

May 15 Paid wages in cash sh 9,000

May 20 Onyango paid his account in cash deducting 25% cash discount

May 22 Bought furniture and paid by cheque shs 25,000

May 24 Cash sales shs 25,000

May 28 Deposited shs 25,000 from the cash till to the business bank account

May 29 Paid Tatu cash less a cash discount of 5 percent

May 30 Paid Kagere by cheque less 5% cash discount

Required

Open a three column cash book to record the above information